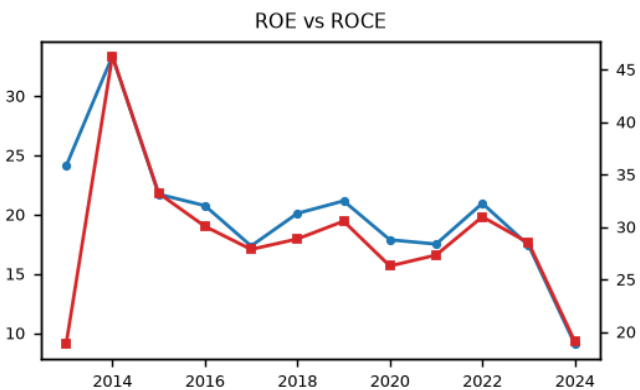
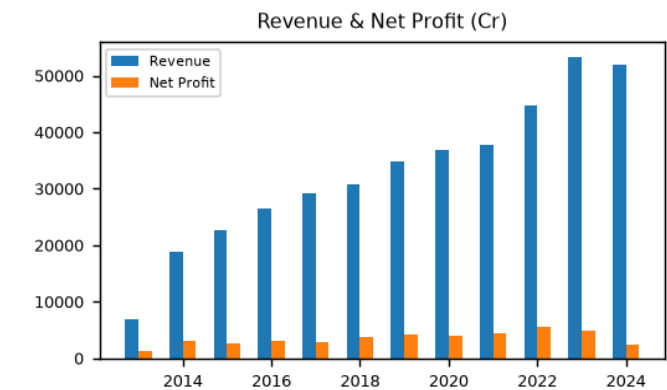
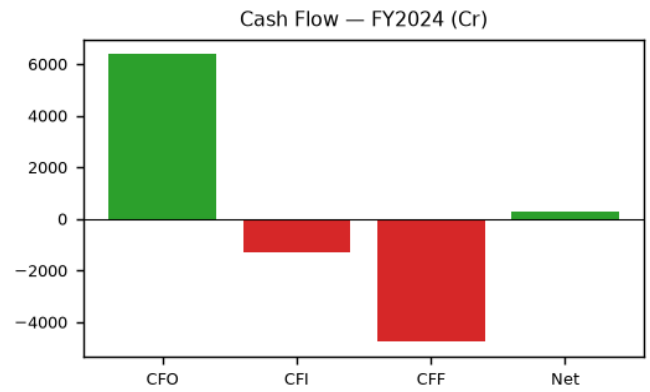
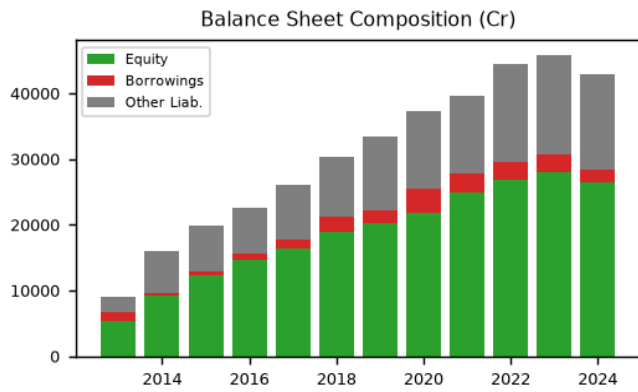


# Tech Mahindra Ltd (TECHM)

Information Technology · Fiscal Year 2024

|                    |                                 |                                  |
|--------------------|---------------------------------|----------------------------------|
| <b>ROE</b><br>9.1% | <b>ROCE</b><br>19.1%            | <b>Net Profit Margin</b><br>4.6% |
| <b>D/E</b><br>0.1  | <b>Revenue CAGR 5yr</b><br>8.4% | <b>FCF (Cr)</b><br>5,058         |





## Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow

## Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation: Shareholder Returns